

Tempus AI, Inc.

TEM NASDAQ

|     |                 |                             |                                     |                       |
|-----|-----------------|-----------------------------|-------------------------------------|-----------------------|
| Buy | \$52.31 ▲ 7.62% | 12M Price Target<br>\$68.00 | 52-Week Range<br>\$41.73 – \$104.32 | Market Cap<br>\$9.39B |
|-----|-----------------|-----------------------------|-------------------------------------|-----------------------|

TEM: AI Healthcare Snapback as Pathology Consortium Builds Moat

WHAT HAPPENED

- TEM ripped +7.6% on lighter volume than recent sessions — that's a buying surge without panic selling, which usually means shorts covering plus fresh longs leaning in. The catalyst looks like the open-source digital pathology consortium news getting picked up by hedge fund trackers (Insider Monkey ran two pieces last night), reinforcing the "10x potential" narrative on Reddit and in retail circles.
- Options flow is screaming bullish — call buyers outnumbered put buyers 3-to-1, with unusual activity in July \$56 and \$58 calls (people betting the stock keeps running into mid-summer).

WHY IT MATTERS

Here's the read: TEM is still down at 17% of its 52-week range (\$41–\$104), so this isn't a breakout — it's a bounce off a beaten-down base. That matters because the setup is asymmetric — if the AI healthcare narrative re-ignites, there's a lot of room to run before resistance kicks in. The pathology consortium is bigger than it sounds — by open-sourcing the framework, Tempus is trying to make itself the default standard for AI pathology (think: become the "operating system" so hospitals build on your rails). But don't ignore the insider selling — the CEO dumped ~\$3.2M in late May around \$46, which tells you management didn't see \$52 coming this fast, so chasing here is risky.

POLICY & POLITICAL WATCH

The big policy tailwind: the administration's AI in Healthcare executive framework and ongoing CMS reimbursement expansion for AI-assisted diagnostics — Medicare started paying for more AI-driven pathology and genomic tests, which directly puts dollars in Tempus's pocket. Watch the FY2027 NIH appropriations debate too — there's bipartisan pressure to boost AI/genomics research funding, and Tempus's data licensing business feeds off that grant money. The risk on the other side: HHS is quietly reviewing how patient data is used to train AI models, and if they tighten consent rules, Tempus's data moat gets narrower.

IS IT EXPENSIVE?

At \$9.4B market cap on ~\$715M expected revenue, you're paying about \$13 for every \$1 of revenue — that's expensive for a company still losing money, but cheaper than where it traded six months ago at 20x+. The honest answer: this isn't a value stock, it's a growth story, and the only way the multiple makes sense is if revenue keeps compounding 30%+ and losses narrow meaningfully by 2027. If growth slips to 20%, this stock has 30% downside fast.

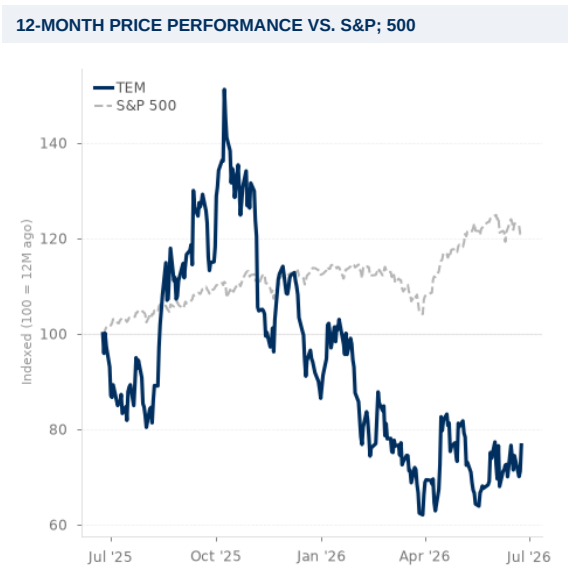
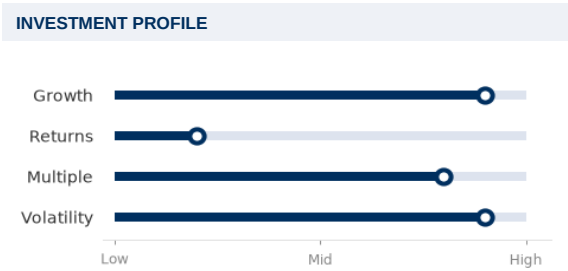
WHAT COULD GO WRONG

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-24 18:35 UTC

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| Key Data            |          |
|---------------------|----------|
| Price (USD)         | \$52.31  |
| 12M Price Target    | \$68.00  |
| Upside / (Downside) | +30.0%   |
| Market Cap          | \$9.39B  |
| FY2026E Revenue     | \$715M   |
| FY2027E Revenue     | \$965M   |
| FY2026E EPS         | (\$1.95) |
| FY2027E EPS         | (\$1.30) |
| Fwd P/E             | N/M      |



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

| TIMEFRAME | BULL CASE | BASE CASE | BEAR CASE |
|-----------|-----------|-----------|-----------|
| 1 Month   | \$58.00   | \$52.00   | \$44.00   |
| 6 Months  | \$75.00   | \$60.00   | \$40.00   |
| 1 Year    | \$95.00   | \$68.00   | \$35.00   |
| 2 Years   | \$130.00  | \$85.00   | \$30.00   |
| 5 Years   | \$220.00  | \$125.00  | \$22.00   |
| 10 Years  | \$450.00  | \$210.00  | \$18.00   |

WHAT'S MOVING IN THE SECTOR

**HEATING UP:** Healthcare (+0.60% today, +0.54% week) is quietly the only defensive sector also in the green over five days — money is rotating into healthcare AI specifically because the AI hype trade is broadening beyond mega-cap tech into "AI applied to real industries."

**COOLING OFF:** Materials (-2.48% week) and Consumer Discretionary (-2.05% week) — both are getting hit on tariff/trade worries and consumer spending softness.

**ROTATION WATCH:** Money is leaving cyclicals and parking in healthcare and utilities — that's a "late-cycle" rotation pattern where investors want growth that doesn't depend on the economy booming, which is exactly TEM's pitch.

**RELATED PLAY:** If TEM's pathology consortium thesis works, the cloud infrastructure that hosts all that data (think AWS/Azure exposure, or smaller plays like RXXR, SDGR in AI drug discovery) benefits too.

WHO'S WINNING IN THIS SPACE?

- RXXR (Recursion Pharma): AI drug discovery peer riding the same hedge fund narrative bump.
- VEEV (Veeva Systems): Healthcare data/software incumbent — profitable version of the same trend, less explosive but steadier.

**TEM CONTEXT:** TEM is lagging the broader healthcare-AI cohort YTD (down ~23% earlier this month per Simply Wall St) but today's pop suggests it's playing catch-up. When the laggard in a hot theme starts moving, it often runs harder than the leaders because the gap to close is bigger — that's the bull case for the next few weeks.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

**CONVICTION:** 7/10 — I like the setup but I'm not pounding the table; the insider selling and cash burn keep me from going bigger.

**POSITION SIZE:** 2-4% of portfolio — this is a volatile, unprofitable name, so size it like a venture bet, not a core holding.

**ENTRY POINTS:** Don't chase the +7.6% pop today. Wait for a pullback to \$45-49 — the stock tends to dip on broader market fear days, and that's your spot.

**TIME HORIZON:** 12-24 months — the catalysts I'm waiting for are (1) two more major hospital system consortium signups, (2) CMS expanding AI reimbursement, and (3) Q3/Q4 earnings showing accelerating data licensing revenue.

**WHEN TO BAIL:** If revenue growth drops below 25% YoY, if they announce a dilutive capital raise at a discount, or if HHS announces new patient-data restrictions — any of those means the thesis is broken.

**HEDGING:** Simplest hedge: take half-position now, save half for a pullback. If you want real protection, buy a put option dated 6 months out at \$40 — it's insurance that pays you if the stock crashes, while you keep your upside.